



TPS EASTERN AFRICA LIMITED

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2012

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the audited results and financial statements for the year ended 31 December 2012.

CONDENSED CONSOLIDATED INCOME STATEMENT:

	2012 Shs' 000	2011 Shs' 000
Sales	5,343,960	5,465,975
Earnings before exchange loss, interest, depreciation and taxation	1,164,826	1,268,725
Exchange (loss)/gain on foreign currency loans	(27,877)	5,833
Net interest expense	(154,561)	(109,923)
Depreciation on property, plant and equipment	(303,694)	(330,834)
Share of results of associates	42,822	19,332
Profit before income tax	721,516	853,133
Current income tax	(144,422)	(130,837)
Deferred income tax	(83,506)	(106,405)
Profit for the year	493,588	615,891
Attributable to:		
Equity holders of the Company	533,683	668,771
Non controlling interest	(40,095)	(52,880)
	493,588	615,891
Earnings per share for profit attributable to equity holders of the Company		
- basic & diluted (Shs per share)	3.60	4.51
Weighted average number of shares (000s)	148,211	148,211

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME:

	2012 Shs' 000	2011 Shs' 000
Profit for the year	493,588	615,891
Other comprehensive income	(166,328)	67,290
Total comprehensive income for the year	327,260	683,181
Attributable to:		
Equity holders of the Company	367,355	736,061
Non controlling interest	(40,095)	(52,880)
	327,260	683,181

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION:

	2012 Shs'000	2011 Shs'000
CAPITAL EMPLOYED		
Total equity	8,181,410	8,046,824
Non-current liabilities	3,256,705	3,469,720
	11,438,115	11,516,544
REPRESENTED BY		
Non-current assets	11,413,799	10,716,911
Net current (liabilities)/assets	24,316	799,633
	11,438,115	11,516,544

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY:

	Share capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Translation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Non controlling interest Shs'000	Total Shs'000
Year ended 31 December 2012								
At start of year	148,211	3,032,431	2,404,495	(90,593)	2,262,751	192,674	96,855	8,046,824
Comprehensive income for the year								
Profit for the year	-	-	-	-	533,683	-	(40,095)	493,588
Other comprehensive income	-	-	(34,377)	(166,328)	34,377	-	-	(166,328)
Total comprehensive income for the year	-	-	(34,377)	(166,328)	568,060	-	(40,095)	327,260
Transactions with owners								
Dividends:								
- final for 2011 paid	-	-	-	-	-	(192,674)	-	(192,674)
- proposed for 2012	-	-	-	-	(192,674)	192,674	-	-
	-	-	-	-	(192,674)	-	-	(192,674)
At end of year	148,211	3,032,431	2,370,118	(256,921)	2,638,137	192,674	56,760	8,181,410

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS:

	2012 Shs'000	2011 Shs'000
Net cash generated from operating activities	1,221,866	242,528
Net cash used in investing activities	(961,686)	(503,951)
Net cash (used)/generated from financing activities	(366,585)	310,701
Net (decrease)/increase in cash and cash equivalents	(106,405)	49,278
Movement in cash and cash equivalents		
At start of year	194,765	199,344
(Decrease)/ increase in cash	(106,405)	49,278
Effect of currency translation differences	(40,710)	(53,857)
At end of year	47,650	194,765

Commentary

The Company successfully navigated through a rather challenging business landscape for the tourism industry in East Africa. The challenges negatively impacted performance from a combination of factors that were beyond Management's control such as the consequences of the Euro Zone crisis, increased energy and interest costs, fragile security and political environments, travel advisories and security alerts issued by foreign government agencies.

During the period under review, activities in the corporate and domestic market segments in Kenya were at satisfactory levels. However activities in the foreign leisure market for Serena Kenya and Zanzibar were rather slow as a result of the above mentioned challenges. Demand for Serena Tanzania was satisfactory with positive growth recorded. The business outlook for the year 2013 is encouraging as the foreign leisure market continues to perceive Tanzania as a preferred safari destination.

Focusing on the Company's long-term prospects while maintaining a balanced risk management approach, the addition of Lake Elmenteita Serena Camp and two properties (Selous Luxury Camp and Mivumo River Lodge) in the Selous National Reserve (Southern Tanzania) continued to strengthen the Serena Safari circuits. The performance at the Units has improved, Management expects that the financial benefits will be realized over the medium to long term.

During the year 2012, the Company invested in renovations to the Mara Serena Safari Lodge (MSSL) and Sweetwaters Tented Camp (SWTC) public areas (to be completed in June 2013), opened the new "Morani Wing" at SWTC with 11 new tents on 1st July 2012, completed the second phase of bedroom rehabilitation at Serena Beach Hotel and Spa (SBHS) and commenced phased bedroom rehabilitation at the Tanzania lodges to enhance future earning capacity.

The directors are pleased to report that, notwithstanding the challenges, the Company managed to meet its financial commitments, maintain market share, maintain the assets in good condition so as to avoid compromising standards of product and service, implement efficiency measures to reduce energy, procurement and general operating costs without sacrificing operating standards, and sourcing business from new markets.

For the year 2012, TPS Eastern Africa Limited recorded a turnover of KShs 5.3 billion compared to KShs 5.5 billion the previous year, a decline of 2.2%, and achieved a Profit Before Tax of KShs 722 million compared with KShs 853 million the previous year, a decline of 15.4%. Taking all factors into account, including strong regional currencies, the Company's performance for the year 2012 was salutary.

The Group continued to implement Information & Communications Technology initiatives, appropriate human resources management practices and sound Corporate Social Responsibility activities that complemented its long-term business strategies, just as it continues to pursue new business opportunities in line with its diversification policy and strategy.

The Company continued to be a significant contributor to the revenues of the governments of Kenya and Tanzania and paid, in aggregate, the equivalent of KShs 1,084 million (2011: KShs 1,075 million) in direct and indirect taxes and equivalent of KShs 189 million (2011: KShs 199 million) to local authorities in royalty/land rent payments in the various jurisdictions during 2012.

Dividend

The directors are recommending for approval at the forthcoming Annual General Meeting, payment of a final dividend for 2012 of KShs 1.30 per share (2011: KShs 1.30 per share), subject to payment of withholding tax, where applicable. The dividend will be payable on or about June 20, 2013 to members on the Register at the close of business on May 30, 2013.

On 11th January 2013, shareholders approved the acquisition of TPS (Uganda) Limited by swapping up to 41,252,568 shares of TPS Eastern Africa Limited which would give up to 79.19% interest in TPS (Uganda) Limited. The new shares will not qualify for the year 2012 dividend.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on Thursday May 30, 2013 at 11.00 a.m. at the Kenyatta International Conference Centre, Nairobi.

By Order of the Board

Dominic Ng'ang'a
Company Secretary

April 8, 2013
Nairobi

The above income statement, statement of financial position, statement of changes in equity and summary statement of cash flows are an extract from the audited financial statements for the Company for the year ended 31 December 2012.